

2c. Content of Component 2: Macroeconomics (H060/02)

Component 2 focuses on macroeconomics. This component provides learners with the technical and analytical tools required to understand how the macroeconomy functions on both a domestic and global level. The content of this component encourages learners to adopt a critical approach to their study of policy through a development of their understanding of the limitations and conflicts which macroeconomic policies cause. There is also a study of the application of policy instruments and the conflicts which can arise from these policies.

Area of Study	Topic	Learners should be able to:
Economic policy objectives and indicators of macroeconomic performance	Economic growth	• explain what is meant by economic growth • explain what is meant by the macroeconomic policy objectives of sustained and sustainable economic growth • explain what is meant by a recession • distinguish between real and nominal (money) gross domestic product (GDP) • compare changes in real and nominal (money) values of GDP over time • explain why GDP and economic growth are measured • evaluate the difficulties of measuring economic growth and GDP • calculate real and nominal (money) economic growth rates • calculate GDP per capita • evaluate the causes of economic growth in the short and long run • explain, with the aid of a production possibility frontier/curve (PPF/C) and an AD/AS diagram, the difference between short run and long run growth • evaluate the costs and benefits of economic growth • evaluate the consequences of a recession.
	Employment/unemployment	• explain what is meant by unemployment • explain what is meant by employment • explain what is meant by the macroeconomic policy objective of full employment • distinguish between the Labour Force Survey and claimant count measures of unemployment • evaluate the difficulties of accurately measuring unemployment • evaluate the causes of unemployment • evaluate the consequences of unemployment • evaluate the effects of full employment.
	Inflation	• explain what is meant by inflation • explain what is meant by the macroeconomic policy objective of low and stable inflation • explain what is meant by deflation, disinflation and hyperinflation

Area of Study	Topic	Learners should be able to:
Economic policy objectives and indicators of macroeconomic performance	Inflation	• explain how the current official measure of inflation in the UK is constructed • calculate the rate of inflation using index numbers • evaluate the advantages and disadvantages of using an index, such as the Consumer Price Index (CPI), to measure inflation • evaluate the causes of inflation • evaluate the consequences of inflation • evaluate the causes of deflation • evaluate the consequences of deflation.
	Trends in macroeconomic indicators	• explain the key trends in UK macroeconomic performance in the last 20 years • evaluate the current performance of the UK economy compared with other developed economies, emerging economies and developing economies.
Aggregate demand and aggregate supply	Circular flow of income	• explain the income, output and expenditure methods of measuring national income • explain what is meant by the circular flow of income • explain what is meant by injections and leakages within the circular flow • distinguish between physical and monetary flows • explain what is meant by the average and marginal propensities to consume and save • explain what is meant by the marginal propensity to withdraw (marginal propensity to save, marginal rate of tax, marginal propensity to import) • calculate average and marginal propensities to consume, save and withdraw • explain what is meant by the multiplier • explain the role and purpose of the multiplier.
	Aggregate demand	• explain what is meant by aggregate demand • explain the determinants of the components of aggregate demand • evaluate the relationship between changes in income and consumption • explain the relationship between aggregate demand and the price level • explain why the aggregate demand curve may shift.
	Aggregate supply	• explain what is meant by aggregate supply • explain why the aggregate supply curve may shift in both the short run and the long run.
	Aggregate demand and supply	• draw and interpret AD/AS diagrams.

Area of Study	Topic	Learners should be able to:
Aggregate demand and aggregate supply	Macroeconomic equilibrium	• explain what is meant by equilibrium in the macroeconomy and how it might change • evaluate how changes in aggregate demand and aggregate supply may affect macroeconomic performance, including economic growth, unemployment and inflation.